

Prediction Machines Lens

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AI cheapens prediction, not judgment

PROFESSIONAL DEFINITION

The Prediction Machines Lens frames AI economically as a drop in the cost of prediction, clarifying that AI makes prediction cheap while judgment, data and action remain complementary and human.

WHO DEVELOPED IT

Developed by economists Ajay Agrawal, Joshua Gans and Avi Goldfarb in Prediction Machines (2018).

WHY IT WAS DEVELOPED

It was developed to give a clear economic account of what AI does — lower the cost of prediction — and what it does not replace.

FIGURE 1 · PREDICTION MACHINES LENS



Figure 1. A schematic of the Prediction Machines Lens as applied in BARBM312 (illustrative).

HOW IT IS USED

AI opportunities are analysed by identifying where cheaper prediction creates value and where human judgment must still be supplied.

WHEN IT IS USED

When assessing where AI adds value in investment and decision processes.

BY WHOM IT IS USED

Investors, strategists and decision-makers.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It reframes AI as a prediction technology, separating cheap prediction from the judgment that remains decisive — vital where AI meets finance.

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SOURCES (HARVARD REFERENCING STYLE)

Agrawal, A., Gans, J. and Goldfarb, A. (2018) Prediction Machines. Boston: HBR Press.

Agrawal, A., Gans, J. and Goldfarb, A. (2022) Power and Prediction. Boston: HBR Press.